

Design/Build Insurance

Typical Professional Liability Policy Exhibit

April 11, 2023

Scenario 1

Third-party lawsuit against Design/Builder alleging design negligence.

1. CPPI pays claim and subrogates up to the limit of the PSPL. CPPI waives rights of subrogation against the individual practice policies of the design team members.*
2. If the claim exceeds CPPI (i.e., \$50M), then the practice policies of the individual design team members respond.

Annual Practice Policies of Design Team Members

Limit: \$25M/\$25M

Insurer: Various

Named Insured: Various

Project-Specific CPPI

Insurer: Berkshire?

Named Insured:
Design/Builder

Cov B

Limit:
\$25M/\$25M
(independent
of Coverage A
limit)*

Coverage A:

Limit:
\$50M/\$50M
(independent
of Coverage B
limit)*

Project-Specific Professional

Limit: \$25M/\$25M

Insurer: TBD

Named Insured: Design Team

Scenario 2

Lawsuit between Design/Builder and design team with no third party claim.

1. PSPL pays claim up to policy limits—(i.e., \$25M).
2. CPPI pays claim up to Coverage B limit—\$25M. CPPI waives rights of subrogation against the individual practice policies of the design team members.*
3. If the claim exceeds \$25M, then the practice policies of the individual design team members respond.

Scenario 3

A member of the design team is sued directly.

1. PSPL pays claim up to policy limits—(i.e., \$25M).
2. If the claim exceeds \$25M, then the practice policies of the individual design team members respond.

*To be confirmed.